Brazil Macro Monthly

Fiscal visibility is key for rate cuts

Highlights

- With inflation more persistent and activity more resilient than expected, central banks in developed economies will have to keep interest rates restrictive for longer. We still expect developed economies to decelerate considerably toward the end of the year once the effects of tighter financial conditions become more evident;
- In Brazil, economic activity continues to slow down. After an expansion of 2.9% in 2022 GDP, we maintain our projections for an increase of 1.0% in 2023 and 0.8% in 2024;
- We see IPCA inflation at 5.5% this year. Services remains resistant, pressured by the heated job market and elevated inflation expectations. For 2024, we project a decline to 4.5%, due to the effect of the restrictive monetary policy;
- We raised our public sector primary deficit forecast for this year from 0.7% to 1.0% of GDP due to higher central government spending. For 2024 onwards, a solid fiscal framework is key to ensure fiscal sustainability;
- The BRL remains undervalued, reflecting even tighter monetary policy globally and uncertain fiscal policy locally. We continue to forecast 5.30 reais to the dollar for 2023 yearend and 5.40 for 2024;
- Inflation outlook remains challenging, which reinforces our scenario of flat Selic rate at 13.75% until the end of the year. But political pressure is mounting. A credible and sustainable fiscal framework would open room for monetary easing earlier, most likely in the second half of this year.

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XP Forecasts

	2019	2020	2021	2022	2023 (F)	2024 (F)
GDP growth (%)	1.2	-3.3	5.0	2.9	1.0	0.8
Unemployment rate (% s.a., end of period)	11.5	14.7	11.7	8.3	9.0	9.5
IPCA (CPI, 12m, %)	4.3	4.5	10.1	5.8	5.5	4.5
SELIC rate (% p.y., end of period)	4.50	2.00	9.25	13.75	13.75	11.00
FX (USDBRL, end of period)	4.03	5.20	5.58	5.28	5.30	5.40
Primary balance (% GDP)	-0.9	-9.3	0.7	1.3	-1.0	-1.1
Gross debt (% GDP)	74.3	86.9	78.8	73.5	77.3	81.0
Trade Balance (USD Bn)	35.2	50.4	61.4	61.7	65.0	56.5
Exports (USD Bn)	221.1	209.2	280.8	334.4	354.5	352.1
Imports (USD Bn)	185.9	158.8	219.4	272.7	289.5	295.6
Current Account (USD Bn)	-68.0	-28.2	-46.4	-55.7	-50.5	-53.0
Current Account (% GDP)	-3.6	-1.9	-2.8	-2.9	-2.5	-2.6
FDI (USD Bn)	69.2	37.8	46.4	90.6	80.0	75.0
FDI (% GDP)	3.7	2.6	2.8	4.8	3.9	3.6
Nominal GDP (USD Tri)	1.873	1.475	1.649	1.919	2.046	2.078
Nominal GDP (BRL Tri)	7.389	7.610	8.899	9.915	10.537	11.116

Source: IBGE, BCB, Bloomberg, XP.

Foreword – Armistice

The tensions between the Executive Branch and the Brazilian Central Bank (BCB) cooled down a bit. President Lula has been somewhat less vocal, while the BCB governor Roberto Campos has repeatedly said that the monetary authority and the government should "work together."

The economic fundamentals behind the dispute, however, didn't change. The government continues to signal an expansionary fiscal policy, including measures to increase disposable income and to reduce households' and companies' indebtedness. Those measures would dilute the impact of monetary policy, which ultimately require an even tighter monetary stance ahead.

The global environment is also becoming a bit more challenging. Since our last Monthly report, growth and inflation in developed economies are proving more resistant, which may force major central banks to raise interest rates above what was previously expected. At the same time, commodity prices has accommodated.

Under those uncertainties, we kept most of our forecasts for the Brazilian economy unchanged. We still see GDP growth at 1.0% this year and 0.8% in 2024; and IPCA inflation at 5.5% this year and 4.5% next year.

With inflation above the target, we continue to see the Selic rate at 13.75% until the end of the year. But the political pressure over the BCB will continue to escalate. Thus, it is possible that the BCB opts to begin a gradual easing in the second half as 2025 becomes relevant in the monetary policy horizon.

A key factor is the behavior of inflation expectations. So far, market forecasts - ours include - have moved towards what is believed to be the next inflation target (4.0% - 4.5%). It is a plausible outcome, but it would require a sustainable and credible fiscal policy for the years to come. Otherwise, expectations will probably climb above the new target, reflecting the risk of an inflationary way out for the rising public debt.

Finance Minister Haddad promised the guidelines of the new fiscal framework for March. Market analysts look forward to it.

Global backdrop: Restrictive monetary policy for longer

War in Ukraine: One year and counting. What initially appeared would be a short-lived conflict has completed its first anniversary. On the economic front, the war led to significant surges in the prices of energy and agricultural commodities, aggravating the global inflation challenge. Although the impact on commodity prices has eased, there are no signs of a resolution to the conflict. The risk of the war intensity escalating could lead to further oil supply constraints and pressure prices. On the other hand, if China's reopening proves to be more modest than what is currently priced in, we see space for further price corrections, albeit small. Our base scenario remains that commodity prices accommodate around current (high) levels, although we see risks tilted slightly to the downside.

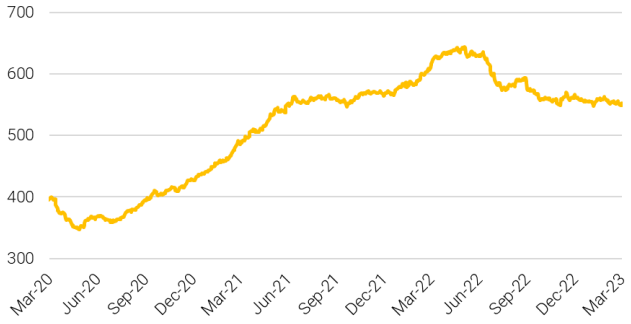
The global economy remains resilient. Activity in major developed economies continues to show unexpected resilience despite tight financial conditions. Fear of a global recession has eased, and the strong growth expected for China and India should partially offset the weakness in economic activity in the rest of the world. Nevertheless, lingering high inflation is expected to force central banks to maintain financial conditions tight for longer, and we believe that it is still too early to rule out the possibility of a recession in the US and Europe.

The Fed will have to keep rates high for longer. Data released over the past month revealed significant upward surprises in inflation, activity, and the labor market. Consequently, despite interest rates having already moved to restrictive territory, we believe that the Fed will need to do more. We expect the Fed to hike rates by 25 bps at least three more times, reaching the terminal rate of 5.5%. It does not seem to be the case, however, for the tightening pace to go back to 50bps. Still, we believe that risks are tilted to the upside, and we now see limited room for rate cuts by yearend.

The question is: how deep would the recession be? After having fallen behind the curve, the Fed had to adopt an unusually aggressive monetary policy stance since the beginning of the tightening cycle 12 months ago. Still, given that the neutral interest rate is estimated at around 0.3%-1.0% in real terms, financial conditions entered contractionary territory only in September 2022. Considering the lagged effect of monetary policy transmission of between 12 to 24 months, it is still unclear what will be the impact of the cumulative tightening on the aggregate economy. Our base case scenario remains that inflation converges to target after the US economy faces a moderate recession. However, if interest rates remain restrictive for longer than expected, the impact on economic activity and corporate earnings can become greater.

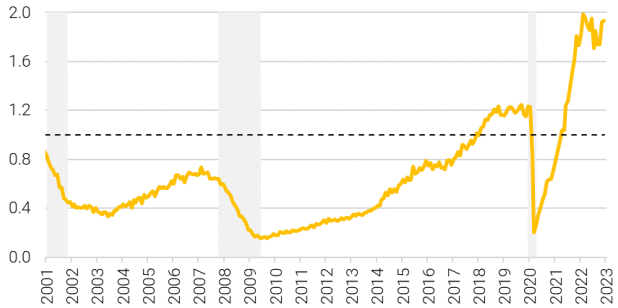
China's reopening: mixed initial signs, although solid growth is still expected. Initial data points to significant improvements in mobility and demand for oil, and the PMI indices have returned to solid expansionary territory in January and February (graphs).

Commodity prices stabilizing at higher levels
(CRB all commodities Index - 1967=100)



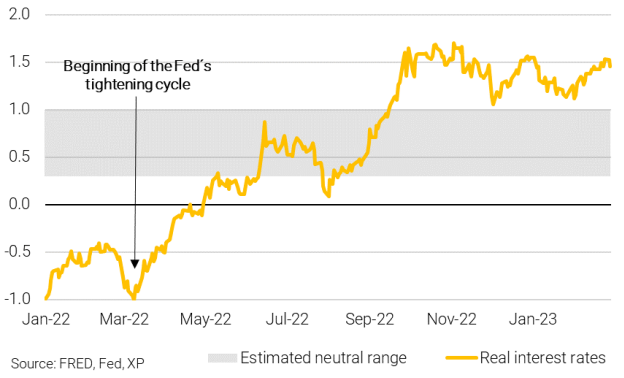
Source: BBG, XP

Tight US labor market amid excess demand for workers
JOLTS job openings/unemployed persons ratio (recession in grey)



Source: Bloomberg, XP

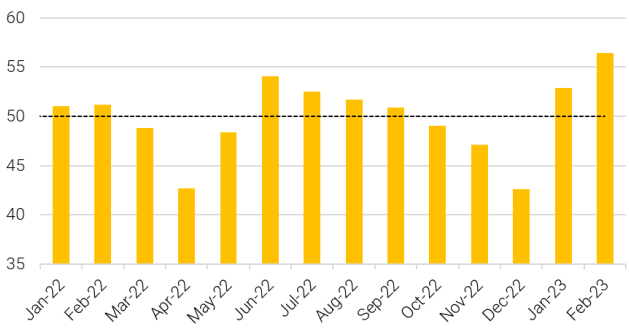
Financial conditions in the US has not been restrictive for very long
(Real ex-ante interest rates: 10Y UST yield - 10Y breakeven inflation - %)



Source: FRED, Fed, XP

However, the rebound in the construction and automotive sectors seems to be modest so far. Also, China registered the first net capital outflow in over two years, reflecting continued fear surrounding the housing market crisis and geopolitical risks. In all, we believe that China's economy will continue to rebound strongly, supported by the removal of covid related restrictions and ongoing policy support from authorities. Thus, we expect China's GDP to expand by around 5.6% in 2023, above the 5.0% target established by the government. In addition, China's growth is expected to have positive spillover effects on other regions, mainly for China's trade partners.

Solid growth expected in China after economic reopening
NBS General PMI (above 50, expansion; below 50, contraction)



Source: Bloomberg, XP

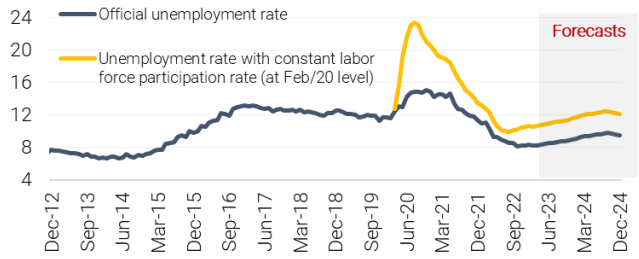
Brazil: Fiscal visibility is key for rate cuts

Economic Activity – Ongoing slowdown

Brazil's GDP expanded by 2.9% in 2022 despite a setback in Q4. Headline GDP dropped 0.2% QoQ in the last quarter, roughly in line with expectations. Even so, the domestic economy grew 2.9% in the full-year 2022, much above initial projections. The statistical carry-over effect for 2023 GPD growth stands at 0.2pp.

The economic slowdown will continue into 2023. Mounting signs point to slower growth this year. Industrial production and retail sales – especially of more credit-sensitive goods – have retreated in the recent period amid the contractionary monetary policy. Furthermore, the benefits of 'post-Covid' reopening on service activities are dissipating. Credit and labor market impulses, noticeable since 2H21, should not be present throughout 2023. Elevated household indebtedness and interest rates lead to rising delinquency rates, which intensify concerns about the financial balance of individuals and companies.

Unemployment rate ended 2022 at the lowest level in eight years, but should rise throughout 2023
(%)

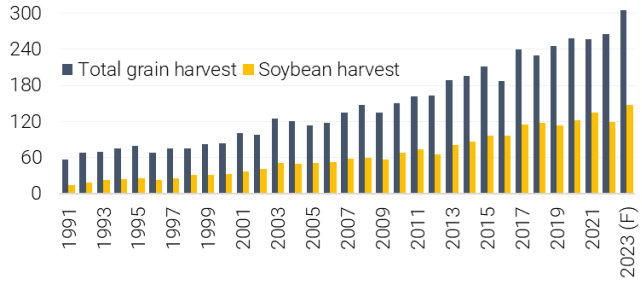


Source: IBGE, XP.

That said, some factors are expected to soften the activity deceleration in the short term.

Agricultural output plays a major role. Sectors less sensitive to the economic cycle will likely grow strongly in 2023, with emphasis on agriculture. Grain harvest should record a new all-time high, mostly driven by soybean production. We project an expansion of around 8% for the primary sector's GDP this year, contributing ~0.5pp to headline GDP growth. Additionally, commodity prices at high levels and government stimulus measures support domestic income. Regarding the latter, we call attention to the higher spending with the 'Bolsa Família' welfare program, the real increase in the minimum wage and government initiatives aimed at the credit market (for example, a program focused on renegotiating household debts). As per our calculations, household disposable income will rise around 3% in 2023, smoothing the deceleration of private consumption and, consequently, of total GDP.

Grain harvest is expected to reach an all-time high in 2023
(in millions of tons)



Source: IBGE, XP.

The Brazilian economy should also grow moderately in 2024. We maintain the scenario of high interest rates for longer in Brazil and in advanced economies. In addition to restrictive monetary policies, the degree of uncertainty surrounding the macro outlook remains higher than usual. In Brazil, the deterioration of fiscal prospects has been weighing on financial assets and macroeconomic forecasts. Under such conditions, we anticipate that headline GDP will grow modestly next year as well (0.8% as per our current projection). Progress in the reform agenda (especially in the tax reform), a credible fiscal framework compatible with long-term government debt sustainability and a firm recovery of the global economy may lead to more favorable expectations for 2024.

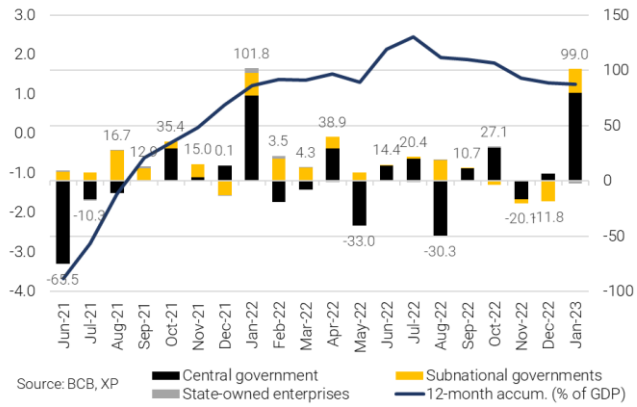
GDP Breakdown (annual change, %)	2020	2021	2022	2023 (F)	2024 (F)
Agriculture and Livestock	4.2	0.3	-1.7	8.3	2.0
Industry	-3.0	4.8	1.6	-0.1	0.5
Services	-3.7	5.2	4.2	0.6	0.7
Total GDP	-3.3	5.0	2.9	1.0	0.8
Household Consumption	-4.6	3.7	4.3	1.3	0.9
Government Consumption	-3.7	3.5	1.5	0.9	0.7
Gross Fixed Capital Formation	-1.7	16.5	0.9	-0.6	0.5
Exports	-2.3	5.9	5.5	2.6	1.2
Imports (-)	-9.5	12.0	0.8	1.5	1.0

Source: IBGE, XP.

Fiscal Policy – Waiting for the new framework

Short-term results remained positive. Federal tax collection grew 6.4% YoY in January, a slowdown compared to 22Q4, mainly due to weaker economic activity. Still, revenues remain at historically high level. The central government posted a surplus of BRL 73.8 billion in January, the second best in the historical series for the month in real terms. The overall public sector (including states and municipalities) reached a surplus of BRL 99.0 billion in the month (see chart).

Public sector registered a surplus in January
monthly in BRL bn (left) and 12-m acc. as % of GDP (right)



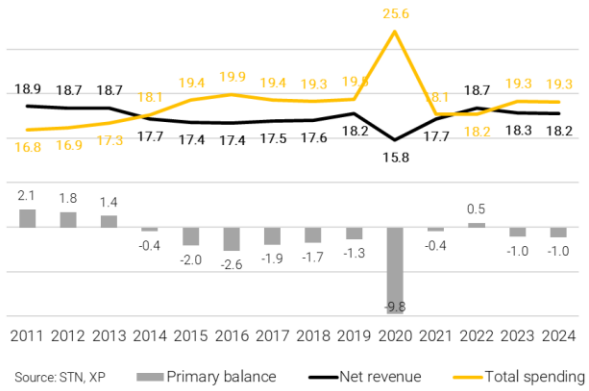
Positive results in January do not change the challenging the outlook for the rest of the year. The central government revenues should remain solid, largely supported by high oil prices. However, expenditures already show a significant 6% YoY increase above inflation, boosted by the expansion of the Bolsa-Família cash-transfer program and other discretionary expenditures. We see expenses above revenues ahead (see details below), which should be reflected in a deterioration of fiscal results throughout the year.

Recent measures should increase the deficit. The government announced that it will raise the minimum wage to BRL 1320 and the income tax exemption to BRL 2640 starting in May of this year. Taken together, these measures imply an impact of approximately BRL 10 billion. Additionally, the government announced further changes in the Bolsa-Família program, almost zeroing the room for savings previously announced by finance Minister Haddad.

Thus, we rose our Central Government primary deficit forecast from BRL 84.2 billion (0.8% of GDP) to BRL 107.4 billion (1.0% of GDP).

For 2024, we carried out a more comprehensive review, also considering the changes in the dividend policy of state-owned companies. **As a result, we increased our estimate from a deficit of BRL 72.6 billion (0.7% of GDP) to BRL 116.6 billion (1.0% of GDP).**

Central government fiscal balance to go back to negative territory
(net revenue, total spending and primary balance - as % of GDP)

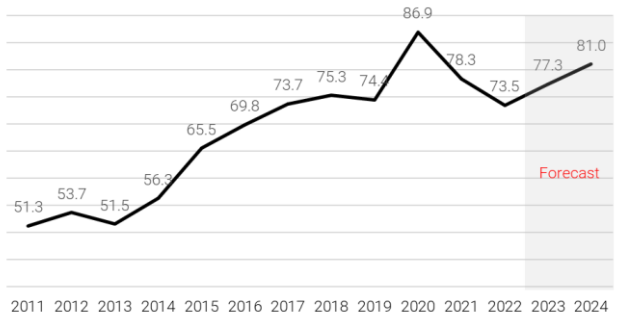


Risks for both revenues and expenditures remain. As we highlighted earlier, a considerable share of the revenue gain last year was due to oil. In our baseline scenario we consider oil prices

stable ahead (U$ 80-90 per barrel). If oil prices revert to their historical average, revenues would be shaved by some 1pp of GDP. On the expenditure side, the main risks are due to expenses not included in the budget, such as the nursing minimum-wage (with an estimated cost of BRL 15 billion) and offsetting ICMS (state-level VAT) losses due to the complementary law nº 194/2022 (around BRL 30 billion).

Debt fell in January but will probably resume its upward trend ahead. Thanks to the strong primary surplus in January, the general government's gross debt fell from 73.5% to 73.1%. However, with primary balance falling back to negative territory and market interest rates at high levels, we see gross debt reaching 77.3% in 2023 and 81.0% in 2024 (see chart).

General government gross debt to resume its upward trend
(as % of GDP)



Source: BCB, XP

The government is expected to present its fiscal framework soon. A credible proposal that leads to fiscal sustainability is a necessary condition for inflation expectations to begin to decline in the medium term and allow the central bank to reduce interest rates more quickly. However, it is necessary to consider whether this framework will be compatible with all the government's sectoral policy proposals. A more restrictive rule in terms of spending growth will hardly support raising the minimum-wage above inflation, increasing civil servants' salaries, and maintaining income transfers and the level of public investment. On the other hand, a looser rule will not be effective in guaranteeing fiscal adjustment over time.

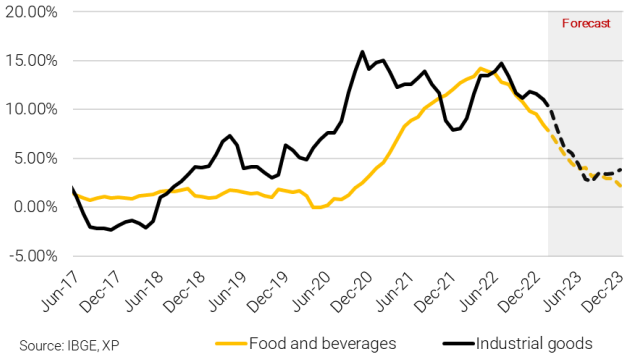
Inflation – fiscal sustainability is key for expectations to remain close to the target path

We recently revised our 2023 inflation forecast from 5.7% to 5.5%. The government announced last week the partial resumption of federal taxes on fuel (that had been zeroed in 2022). We had considered that the tax would be fully restored. Thus, we marginally reduced our IPCA inflation forecast by 20bps.

Foodstuff and industrialized goods prices will lead disinflation this year. Despite the upward pressure on food at the beginning of the year, the outlook is that improved weather conditions, lower costs and increased supply will allow food at home inflation to fall to 3.0% in the year (after 13.2% in 2022). On its turn, industrialized goods inflation should retreat to 2.2% due to lower domestic demand and better global supply conditions (chart).

Services inflation retreated compared to last year but remains at a high level. The 3-month seasonally adjusted annualized moving average of the IPCA services decelerated significantly (chart). But this was not enough to bring inflation to the center of the target (currently at 3.25%). From now on, pressure from inertia, a real increase in the minimum wage, and rising expectations should keep the group's inflation at a high level, retreating only 1pp compared to 2022.

Food and industrial goods to lead disinflation...
(12-m acc. IPCA inflation - %)



Source: IBGE, XP

... But services inflation should not fall back to pre-pandemic levels
(12-m acc. IPCA inflation - %)

Source: IBGE, XP

For 2024, we maintain our forecast at 4.5%. Our baseline scenario implies a change in the target for 2024 and beyond by 1.5pp. But with inflation expectations remained anchored around the new target. If fiscal outlook deteriorates, expectations may continue to rise. This is an upward risk to our 4.5% forecast.

IPCA groups (%)	2021	2022	2023 (F)	2024 (F)
Regulated Prices	17.3	-3.8	9.3	6.2
Market-set prices	10.1	9.4	4.3	3.9
Food at home	8.2	13.2	3.0	3.5
Industrials	12.1	9.6	2.2	4.1
Services	4.7	7.6	6.4	6.6
IPCA	10.1	5.8	5.6	4.5

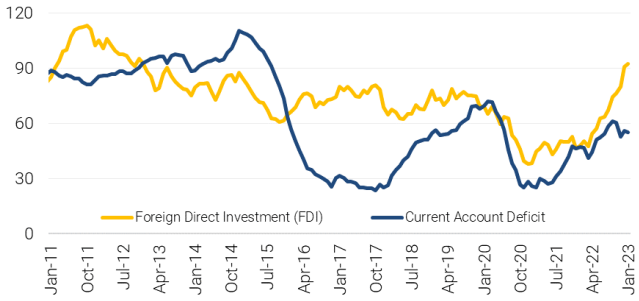
Source: IBGE, XP.

External Sector: BRL remains volatile amid local and external uncertainties

The Brazilian exchange rate depreciated last month, from BRL/USD 5.09 in January to BRL/USD 5.20 in February. Considering both structural and cyclical factors, our models suggest that the exchange rate could be between BRL/USD 4.50 BRL/USD 4.85, but domestic risks, especially in the fiscal field, have contributed to maintaining the BRL undervalued. We believe that throughout the year the discussions in terms of economic policy will be difficult, with several comings and goings. Therefore, for now, we maintain the exchange rate projection at BRL/USD 5.30 at the end of 2023, with an annual average of BRL/USD 5.15.

In January, the Brazilian current account recorded a deficit of USD 8.8 billion. On the one hand, the Primary Income account posted a larger deficit relative to the same month last year, owing chiefly to sharper net expenditures on profits and dividends linked to both direct and portfolio. On the other hand, the Merchandise Trade Balance remains on a solid upward path, still reflecting elevated commodity prices. This behavior should persist throughout 2023, in our view, on the heels of China's economic reopening, the resilience of activity in advanced economies, and, consequently, firm external demand for Brazilian exports. Moreover, total imports will likely grow at a slower pace this year amid the weakening of domestic demand. We anticipate deficits of USD 50.5 billion (2.5% of GDP) in 2023 and USD 53.0 billion (2.6% of GDP) in 2024.

Balance of payments remains robust, with Foreign Direct Investment well above current account deficit
(12-m acc. - USD billion)



Source: BCB, XP.

On the financial account side, net inflows in FDI (Foreign Direct Investment) totaled USD 6.9 billion in January 2023. It reached USD 92.3 billion in the 12-month rolling sum up to January 2023 (4.78% of GDP), significantly above the USD 48.1 billion recorded for January 2022 (2.91% of GDP). Looking ahead, we expect net inflows in FDI to reach USD 80 billion in 2023 (3.9% of GDP) and USD 75 billion in 2024 (3.6% of GDP). In other words, levels below those recorded for 2022 amidst the cooling of economic activity, but still close to all-time highs.

Monetary Policy – Under Pressure

The outlook for inflation remains challenging. Recent readings of IPCA inflation showed the core component stubbornly high; the labor market remains tight, despite some recent deceleration; medium-term inflation expectations are on the rise; and the government is working on measures to sustain credit markets, which would water down the effects of tight monetary policy.

Against this backdrop, we would be comfortable with our scenario that the Copom will keep the Selic rate at 13.75% until the end of

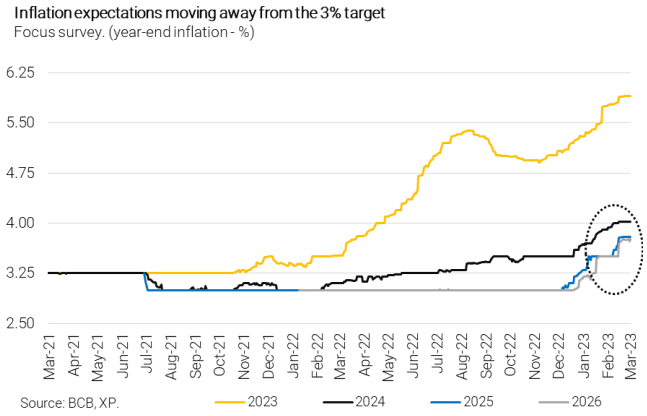
the year. Keeping monetary policy tight for a sufficiently long period would be important to bring inflation expectations back to the target path, opening room for some easing as 2025 enters the Copom's relevant horizon.

However, political pressures are mounting. President Lula has mentioned several times since he took office that there is no reason for the Selic rate to be at 13.75% and that current inflation is not demand-driven. This assessment was repeated by officials from the economic area, such as Planning Minister Simone Tebet.

The government seems to be waiting for a dovish signaling from the Copom in its next meeting (March 22nd). From a technical viewpoint, however, it seems unlikely, considering the reasons mentioned above. That should keep elevated the tensions between the monetary authority and the Executive Branch

Still, we keep our forecast for the Selic rate at 13.75% throughout this year. For 2024 we see room for gradual easing towards 11.00%, bringing the real rates closer to the equilibrium (around 5.0%).

A credible and sustainable fiscal framework would allow a monetary easing before expected, most likely in the second half of this year.



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